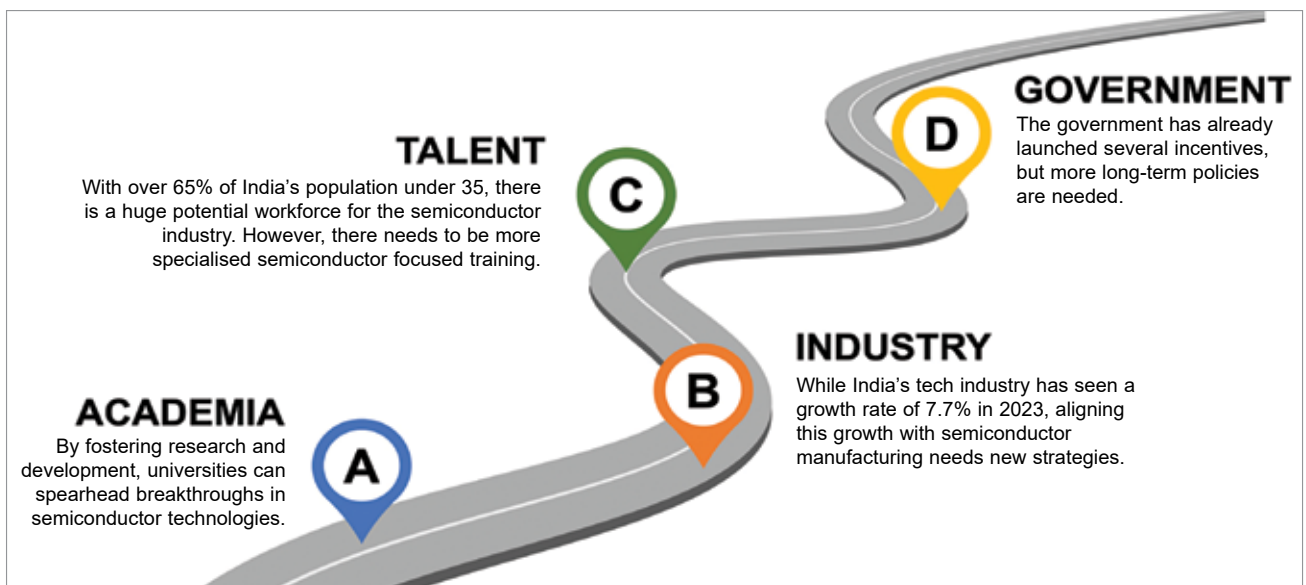


INDIA'S SEMICONDUCTOR MANUFACTURING AMBITION

Needs A Decadal Plan

Explore India's surge in semiconductor imports, the pressing need for self-reliance, and the strategic pillars reshaping the nation's technological destiny



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India's semiconductor imports have surged significantly in recent years, reflecting the country's growing demand for these essential components in various sectors. The latest data highlights a substantial increase in semiconductor chip imports, underscoring the financial impact and the urgent need for domestic semiconductor manufacturing capabilities.

In 2021, according to OEC, India imported \$5.38 billion worth of semiconductor devices, ranking as the 7th largest importer globally. Most of these imports were from China, amounting to \$4.2 billion. This large scale of imports indicates a heavy reliance on foreign semiconductor sources. Furthermore, India's

semiconductor chip imports witnessed a dramatic 92% surge over the last three years.

The considerable growth in semiconductor imports and the substantial financial outlay highlight India's urgent need to develop its semiconductor manufacturing capabilities. This development is crucial for reducing import dependency and enhancing India's technological self-reliance and economic stability in a globally competitive sector.

Recognising this critical need, India has embarked on an ambitious journey to build a robust semiconductor manufacturing ecosystem and has devised several incentives to foster it.

However, incentives only help to a certain extent, beyond which laser-focused roadmap